one prominent economist said on national television in late 1982, "A Dow 3700 target? That Elliott Wave guy is too bullish by a decimal point!" Today, our roles are reversed. The vocal long term bears of yesteryear have long since capitulated to the bullish camp, which is fearlessly extrapolating an unending long term advance interrupted by occasional "corrections" limited to 10%. The Dow's target for year-end 2000, given by countless analysts in newspapers at the start of 1995, is 7000 to 10,000. This time, it is "that Elliott Wave guy" who says, "You are all too bullish by a decimal point."

Truly, the skepticism that greeted Frost's and my "super bull market" thesis 13-17 years ago was nothing compared to the current disbelief that an overall severe collapse in stock price values and an economic depression are nigh. Formerly skittish investors, following the lead of today's financial media heroes, are now stock pickers, fund buyers, long term buy-and-holders, and averagers-down who disdain market timing as both impossible and foolish. The economy is expanding at a moderate rate, they say, managed by the Fed to produce "the best of all possible worlds": steady economic expansion with a low inflation rate. Republicans have captured Congress, thereby in most people's eyes guaranteeing stable growth and low capital gains taxes such as the country enjoyed during the Reagan administration. The country's longtime nemesis, Communism, is gone from Europe and dissolving in Asia. Economists are extolling the future, predicting the opening of unlimited new markets, a new era of international cooperation, the expansion of capitalism worldwide, and a resulting nirvana of explosive economic growth, continuously rising stock markets, and global prosperity. A truly optimistic consensus has taken hold. Today, long term bullishness is not merely a widespread opinion. It has gone beyond even a philosophy. It is a mantra. As a result, the news media have been pouring forth a blizzard of smug statements that Dow 10,000 is inevitable, that all one needs to know is what stocks to own, not whether to own them at all.

As in the Zulu experiment, today people look back at the peak in precious metals fifteen years ago as obvious in retrospect and wonder how people could actually have been interested in owning them. In the same way, the upcoming bear market, which will carry the Dow at least to 1000 and probably below 400, will be referenced, after it happens, as having been "inevitable" and "the result of unforeseen circumstances that nevertheless had an obvious impact."